Exercise 4 • Multi-Step Income Statement

Hawkins Partners Income Statement & Inventory Adjustments

Original statement · T3_Financial Statements_EXERCISES.pdf, p. 2

Prepare the Income Statement for Hawkins Partners using the following figures and knowing that corporate tax applicable rate is 30% (figures in euros):
1. Initial inventory: 600 | 2. Purchase of goods (sold 100%): 84.000 | 3. Rental costs: 1.000 | 4. Property sold to another company (income): 10.500 | 5. Interests received: 15.200 | 6. Interests from long-term debt: 5.500 | 7. Wages and salaries: 12.700 | 8. Water, gas and electricity: 1.200 | 9. Sales: 130.800 | 10. Inventory at end of period: 500.

EXAM DAY STRATEGY: INVENTORY VARIATION, EXTRAORDINARY GAINS & MULTI-STEP P&L

- **Standard Multi-Step P&L Structure:**

$$\text{Sales Revenue} \overset{-\text{COGS}}{\longrightarrow} \text{Gross Profit} \overset{-\text{Op. Expenses}}{\longrightarrow} \text{EBIT} \overset{+\text{Non-Op}\pm\text{Financial}}{\longrightarrow} \text{EBT} \overset{-\text{Taxes}}{\longrightarrow} \text{Net Income}$$

- **Cost of Goods Sold (COGS) Identity:**

$$\text{COGS} = \text{Beginning Inventory} + \text{Purchases} - \text{Ending Inventory}$$

$$\text{COGS} = 600 + 84,000 - 500 = \mathbf{84,100}\ €$$

Economic intuition: Ending inventory dropped by 100 € (600 − 500). This inventory depletion was sold to customers, so it must be added to purchases ($84,000 + 100 = 84,100$).

- **Exam Trap 1 – Extraordinary Property Sale:** "Property sold to another company (€10,500)" is a capital gain from the disposal of a non-current asset, **NOT regular commercial turnover**! It must NOT be mixed into operating sales, but placed under **Non-Operating / Extraordinary Income**.
- **Exam Trap 2 – Financial Interests Separation:** "Interests received (€15,200)" is financial income; "Interests from long-term debt (€5,500)" is financial expense. Net Financial Result $= +15,200 - 5,500 = +\mathbf{9,700}$ €.
- **Exam Trap 3 – Corporate Tax Base:** Apply the 30% tax rate to **EBT** (€52,000), NEVER to EBIT (€31,800). Corporate income tax covers all profits: operating, extraordinary, and financial.

Phase 1: Step-by-Step Arithmetic Deductions

1. **Cost of Goods Sold (COGS):**

$$\text{COGS} = \text{Initial Inventory} + \text{Purchases} - \text{Ending Inventory} = 600 + 84,000 - 500 = \mathbf{84,100}\ €$$

2. **Gross Profit (Margen Bruto):**

$$\text{Gross Profit} = \text{Sales Revenue} - \text{COGS} = 130,800 - 84,100 = \mathbf{46,700}\ €$$

3. **Operating Expenses (Gastos de Explotación):**

$$\begin{aligned} \text{Wages and salaries} &= 12,700\ € \\ \text{Rental costs} &= 1,000\ € \\ \text{Water, gas and electricity (Utilities)} &= 1,200\ € \\ \hline \text{Total Operating Expenses} &= 12,700 + 1,000 + 1,200 = \mathbf{14,900}\ € \end{aligned}$$

4. **Operating Income / EBIT (Resultado de Explotación):**

$$\text{EBIT} = \text{Gross Profit} - \text{Operating Expenses} = 46,700 - 14,900 = \mathbf{31,800}\ €$$

5. **Non-Operating & Financial Items (Resultados Financieros y Extraordinarios):**

$$\begin{aligned} \text{Gain on property sold (Non-operating)} &= +10,500\ € \\ \text{Interests received (Financial income)} &= +15,200\ € \\ \text{Interests on debt (Financial expense)} &= -5,500\ € \\ \hline \text{Net Non-Operating \& Financial} &= +10,500 + 15,200 - 5,500 = +\mathbf{20,200}\ € \end{aligned}$$

6. **Earnings Before Taxes / EBT (Resultado Antes de Impuestos):**

$$\text{EBT} = \text{EBIT} + \text{Net Non-Operating \& Financial} = 31,800 + 20,200 = \mathbf{52,000}\ €$$

7. **Corporate Income Tax** (30%) **and Net Profit:**

$$\text{Corporate Tax} = 30\% \times \text{EBT} = 0.30 \times 52,000 = \mathbf{15,600}\ €$$

$$\text{Net Income (Net Profit)} = \text{EBT} - \text{Corporate Tax} = 52,000 - 15,600 = \mathbf{36,400}\ €$$

Phase 2: Formal Multi-Step Income Statement

HAWKINS PARTNERS – INCOME STATEMENT	Detail (€)	Amount (€)
Sales Revenue (Turnover)		130,800
(-) Cost of Goods Sold (COGS)		(84,100)
• Initial inventory	600	
• Purchases of merchandise	84,000	
• (-) Ending inventory	(500)	
= GROSS PROFIT (Margen Bruto)		**46,700**
(-) Operating Expenses		(14,900)
• Personnel (Wages and salaries)	(12,700)	
• Rental costs	(1,000)	
• Utilities (Water, gas, electricity)	(1,200)	
= OPERATING INCOME / EBIT (Resultado de Explotación)		**31,800**
(+) Extraordinary Gain: Property sold to another company		+10,500
(+) Financial Income: Interests received		+15,200
(-) Financial Expenses: Interests on long-term debt		(5,500)
= EARNINGS BEFORE TAXES / EBT (Resultado Antes de Impuestos)		**52,000**
(-) Corporate Income Tax (30%)		(15,600)
NET INCOME / NET PROFIT (Resultado del Ejercicio)		**36,400**

ECONOMIC MARGIN INSIGHTS

Gross Margin: $\frac{\text{Gross Profit}}{\text{Sales}} = \frac{46,700}{130,800} = \mathbf{35.70\%}$

Operating Margin (ROS): $\frac{\text{EBIT}}{\text{Sales}} = \frac{31,800}{130,800} = \mathbf{24.31\%}$

Net Margin: $\frac{\text{Net Income}}{\text{Sales}} = \frac{36,400}{130,800} = \mathbf{27.83\%}$ (Boosted significantly by extraordinary property gain and financial investments).

Study notes written from the official course material (T3_Financial Statements_EXERCISES.pdf; Topic 3 Financial Management (I).pdf). Online version: subjects/business-management/problemas/topic-3-financial-statements.html